

The short reason is simply *too many mistakes*.

The facts are unassailable: It's not that most investors aren't great, it's that they make too many avoidable errors. In baseball, a low batting average is not caused by the lack of home runs, but rather, by too many pop-ups, groundouts, and strikeouts. Or, back to Charlie Munger, *not smarter, but less stupid*.

That is the subtle but crucial secret to your success as an investor. As I have watched my own investing improve over the decades, I attribute that success to being less stupid rather than to becoming smarter.

More than a few people warned me, "Don't use a negative statement in a book title!" I hope to make up for that *faux pas* by filling this book with lots of good advice as to what you can do to avoid these problems. For each of the lists of *what not to do*, there are just as many suggestions of what *TO DO*. You will find these lists useful.

I divided the book into four parts: *Bad Ideas*, *Bad Numbers*, *Bad Behavior*, and *Good Advice*. Each of those *Bad* sections is subdivided into three subsections. *Bad Ideas* looks at money-losing advice, the media through which it spreads, and the sophistry used to deceive us. *Bad Numbers* explains how our discomfort with numbers, statistics, and probability creates a poor understanding of how stocks, markets, and the economy operate in real life. *Bad Behavior*? That is where those bad numbers and ideas show up—in how we think about and act around money.

As we progress through each, we move from problems to solutions, from negatives to positives. Pointing out the mistakes we make is easy—but of the most value to you as an investor are the ways you can avoid making these expensive errors.

The last section, *Good Advice*, offers a summation designed to help you minimize these mistakes, including specific *strategies*. The goal is to put what you learn in a usable set of solutions. It will be a great improvement to your personal finances and investment success.